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Solution

In the books of Madhu

Balance Sheet as on 31st March, 2018

Particulars	`	`	Particulars	`	`
Capital	2,00,000		Goodwill		60,000
Add: Net profit	96,000		Land and Building		50,000
Add: Interest on capital	20,000		Vehicles	80,000	
	3,16,000		Less: Depreciation	8,000	72,000
Less: Drawings	40,000	2,76,000	Investments		20,000
Loan from bank	40,000		Stock-in-trade		1,20,000
Add: Interest outstanding	6,000	46,000	Sundry debtors	80,000	
Bills payable		20,000	Less: Bad debts	10,000	
Sundry creditors		40,000		70,000	
Bank overdraft	20,000		Less: Provision for bad and doubtful debts	7,000	63,000
Add: Interest outstanding	3,000	23,000			
Outstanding liabilities:			Bills receivable		10,000
Salaries	10,000		Cash at bank		25,000
Wages	20,000	30,000	Cash in hand		15,000
		4,35,000			4,35,000

Illustration 14

The following balances were extracted from the books of Thomas as on 31st March, 2018

Particulars	`	Particulars	`
Purchases	75,000	Capital	60,000
Returns inward	2,000	Creditors	30,000
Opening stock	10,000	Sales	1,20,000
Freight inwards	4,000	Returns outward	1,000
Wages	2,000		
Investments	10,000		
Bank charges	1,000		
Land	30,000		
Machinery	30,000		
Building	25,000		
Cash at bank	18,000		
Cash in hand	4,000		
	2,11,000		2,11,000